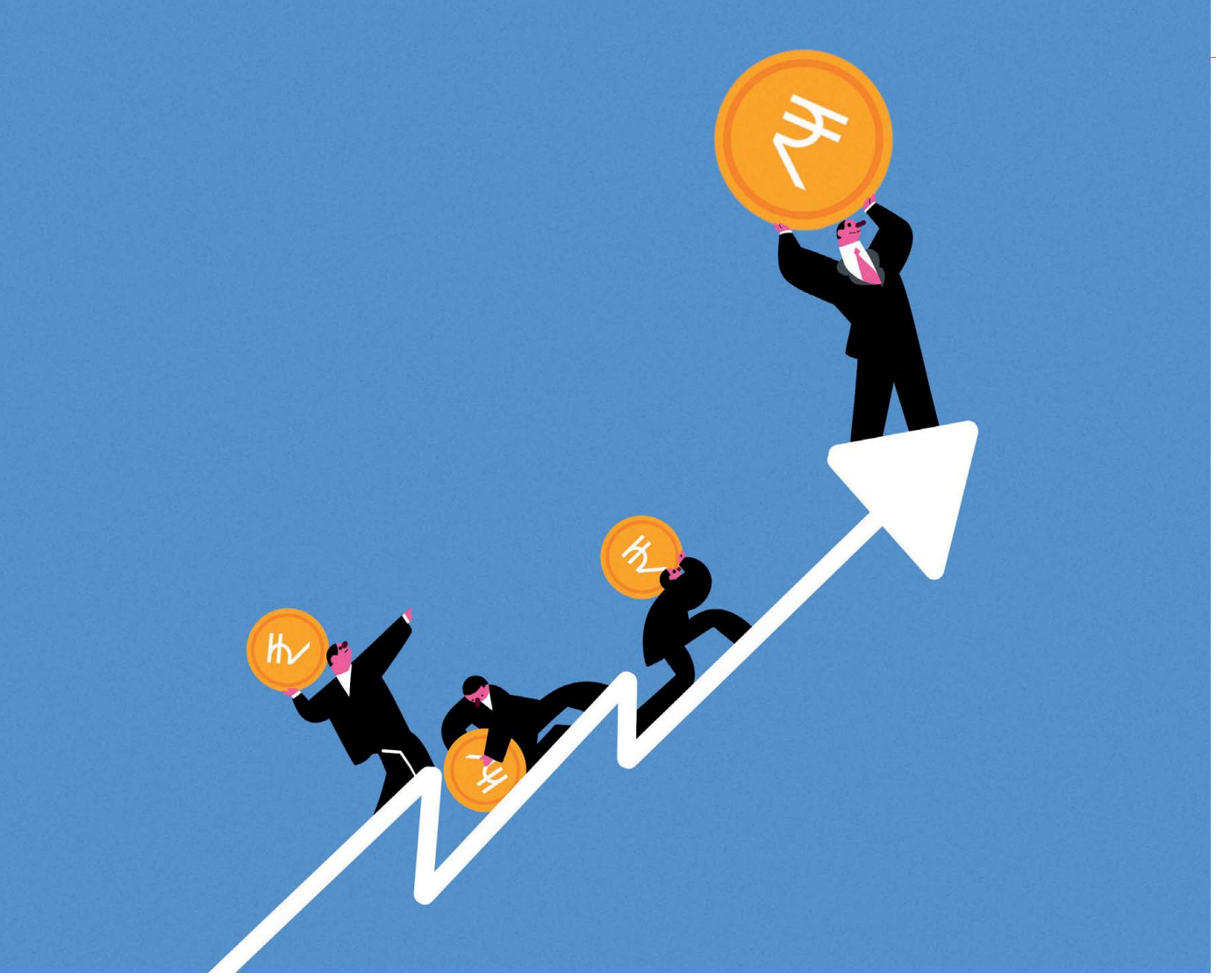


Illustrations by **SIDDHANT JUMDE**

returns year after year and none are immune from the risk of losing money. Our intent is to make you aware of the different potential strategies and how they could be useful for you to build wealth and create a more diversified portfolio to achieve your financial goals. It would help to know what each investment style or strategy does and the circumstances within which it works the best. Remember, in a bull run, many stocks perform exceedingly well on sentiments and not necessarily any fundamentals.

Growth investing

One invests in stocks to earn returns and growth stocks represent companies that have demonstrated better-than-average gains in earnings in recent years and are expected to continue delivering high levels of profit growth. Growth investing strategy centres on choosing stocks of companies that have significant growth potential. These stocks may be of companies that do not have an established history of strong earnings growth.

Often, growth stocks tend to hold promising positions in emerging industry niches that feature long runways for expansion ahead of them. Because of this desirable potential, and the unusually strong success the business has had in recent years, a growth stock is generally priced at a premium that reflects the optimism investors have in the company. Take Pearl Global Industries, which fits the growth stock category; it is an end-to-end clothing vendor and supplier with a presence across the globe. It provides complete apparel solutions to leading fashion brands across categories.

A growth company or growth stock typically reinvests most or all of its profits into expansion. While some growth companies do pay dividends, it is rare. You can



BENJAMIN GRAHAM

"THE UNDERLYING PRINCIPLES OF SOUND INVESTMENT SHOULD NOT ALTER FROM DECADE TO DECADE, BUT THE APPLICATION OF THESE PRINCIPLES MUST BE ADAPTED TO SIGNIFICANT CHANGES IN THE FINANCIAL MECHANISMS AND CLIMATE"